TENTATIVE RULINGS

DEPT C34

JUDGE H. SHAINA COLOVER

LAW AND MOTION IS HEARD ON THURSDAY AT 1:30 P.M.

Tentative Rulings: The Court endeavors to post tentative rulings on the Court's website by 10:00 a.m. in the morning, prior to the afternoon hearing. However, ongoing proceedings may prevent posting by that time. Do not call the Department for tentative rulings if none are posted. Tentative rulings may not be posted on every case. The Court will not entertain a request to continue the hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on Tentative Rulings: If all parties involved in the subject matter intend to submit on the tentative ruling and do not desire oral argument, then *counsel for each such party shall call* and advise the Courtroom Clerk or Courtroom Attendant by calling **(657) 622-5234** before 12:00 pm on the day of the hearing. If all sides submit on the tentative ruling and so advise the Court, the tentative ruling shall become the Court's final ruling and the prevailing party (or whomever the Court assigns in the ruling) shall give notice of the ruling and prepare an order for the Court's signature, if appropriate, under Cal. R. Ct. 3.1312.

Non-Appearances: If no one appears for the hearing and the Court has not been notified that all parties submit on the tentative ruling, the Court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc*. (2012) 205 Cal.App.4th 436, 442, fn. 1.)

Appearances: Remote and In-Person Proceedings. Department C34 **(NOT N6- Please no reserving/filing of motions in N6)** conducts non-evidentiary proceedings, such as law and motion, remotely, by Zoom videoconference pursuant to CCP §367.75 and Orange County Local Rule (OCLR) 375. All counsel and self-represented parties appearing remotely for the Law and Motion Calendar must check-in online through the Court's website at https://www.occourts.org/media-relations/civil.html, prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Check-in instructions and instructional video are available at https://www.occourts.org/media-relations/aci.html. Parties preferring to appear in-person for law and motion hearings may do so pursuant to CCP §367.75 and OCLR 375.

Court Reporters: Official court reporters (i.e., court reporters employed by the Court) are NOT typically provided for law and motion matters in this Department. If a party desires a record of a law and motion proceeding, it must provide a court reporter. The Court's policy on privately retained court reporters is available on the Court's website at: Privately-Retained Court Reporter Policy.

Public Access: The courtroom remains open for all evidentiary and non-evidentiary proceedings. **No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and OCLR 180.**

TENTATIVE RULINGS

Date: June 11, 2026

#	Case Name	Tentative
1.	**30-2025-01454345** **Morris vs. Data Media Associates, LLC**	**1. Case Management Conference** **2. Demurrer to Complaint** Defendant Data Media Associates, LLC (“Defendant”) demurs to the Complaint of plaintiff Theodora Morris (“Plaintiff”) on the ground that the pleading fails to allege sufficient facts to support any viable cause of action. <u>Damages</u> Defendant first argues that Plaintiff has failed to allege any damages or injury arising from the incident and all of her causes of action fail for this reason. Defendant contends that Plaintiff only vaguely alleges that she sustained economic loss and emotional distress and those allegations are insufficient because damages for emotional distress must be supported by something more than conclusory allegations and for monitoring and lost time to be compensable. Moreover, Plaintiff must allege that her need for future monitoring is a reasonably certain consequence of Defendant’s purported breach of duty, and that such monitoring was reasonable and necessary. Plaintiff alleges that, as a result of the data breach, she has experienced “substantial and ongoing emotional distress, which has sometimes manifested in physical symptoms[.]” (Compl. ¶ 25.) She further alleges that she “has expended time and effort and incidental costs in an effort to mitigate the harm by researching and taking steps to ascertain whether her personal information has been used to commit identity theft or otherwise misused, by placing security freezes or removing freezes on her credit reports and will need to continue to do so for the foreseeable future.” (Compl. ¶ 26.) Plaintiff alleges that while Defendant has offered some victims credit monitoring services, those services are wholly insufficient to compensate her for her damages. (Compl. ¶ 20.) General damages of emotional harm and distress are insufficient to support Plaintiff’s claim for damages. (*Holly v. Alta Newport Hospital, Inc*. (2020) 612 F.Supp.3d 1017, 1026 [holding conclusory allegations of “fear of identity theft, embarrassment, anxiety, emotional pain and upset” and injuries to nervous system to be insufficient].) Here, Plaintiff’s allegation of emotional distress that has “sometimes” manifested in physical symptoms, without more, is vague and conclusory. Thus, Plaintiff has not adequately alleged emotional distress damages. However, Plaintiff’s allegations regarding monitoring and incidental costs are sufficient. “Courts have found that credit monitoring may be ‘compensable where evidence shows that the need for future monitoring is a reasonably certain consequence of the defendant's breach of duty, and that the monitoring is reasonable and necessary.’ ” (*Gardiner v. Walmart Inc*. (N.D. Cal. 2021) 2021 WL 2520103, at *6.) Here, in viewing the allegations in their totality, Plaintiff has adequately alleged a need for future monitoring and damages in the form of incidental costs, which is supported by the allegation that Defendant’s offer of services are

insufficient and that Plaintiff has been required to place and/or remove security freezes on her credit reports. Thus, Defendant's argument that Plaintiff's allegations of damages are insufficient fails.

First Cause of Action for Negligence

Defendant argues that the economic loss doctrine forecloses Plaintiff's negligence claim unless bodily injury or property damage has resulted. Defendant further argues that this cause of action fails because Plaintiff alleges no facts in support of her allegation that Defendant's data security was deficient or that Defendant otherwise breached any duty of care.

The economic loss rule provides that, "[i]n general, there is no recovery in tort for negligently inflicted 'purely economic losses,' meaning financial harm unaccompanied by physical or property damage." (*Sheen v. Wells Fargo Bank, N.A*. (2022) 12 Cal.5th 905, 922.) "The economic loss rule has been applied in various contexts. First, it carries force when courts are concerned about imposing ' "liability in an indeterminate amount for an indeterminate time to an indeterminate class." ' " (*Ibid*.) "In another recurring set of circumstances, the rule functions to bar claims in negligence for pure economic losses in deference to a contract between litigating parties." (*Ibid*.)

Here, while Plaintiff has only adequately alleged economic loss, rather than physical harm, the economic loss rule does not bar her negligence claim. Defendant does not contend that the parties had a contract. Further, Defendant does not argue that the context of potential liability in an indeterminate amount for an indeterminate time to an indeterminate class is present here. Thus, Defendant has failed to establish that the economic loss rule applies.

Plaintiff alleges that Defendant owed a duty to keep her private information safe from unauthorized disclosure to third parties and breached that duty by failing to implement adequate security systems and practices consistent with industry standards and state and federal law. (Compl. ¶¶ 21-22.) Plaintiff further alleges that Defendant did not inform victims of the data breach, which occurred in June 2023, until August 2023. (Compl. ¶ 15.) The Court finds that these allegations are sufficient to allege breach of a duty of care.

Second Cause of Action for The Customer Records Act (CRA)

Plaintiff concedes she has no viable cause of action under the CRA. Thus, the Demurrer to the second cause of action is **SUSTAINED without leave to amend**.

Third Cause of Action for Conversion

Defendant argues that this cause of action fails because Plaintiff does not allege that Defendant acted intentionally to convert her information and instead admits that Defendant is also the victim of a cyberattack. Further, Plaintiff has not been deprived of her information and she may still use or access that information.

" 'The elements of a conversion claim are: (1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages. . . .' [Citation.]" (*Hodges v. County of Placer* (2019) 41 Cal.App.5th 537, 551.) "In order to establish a conversion, the plaintiff 'must show an intention or purpose to convert the goods and to exercise ownership over them, or to prevent the owner from taking possession of his property.' " (*Collin v. American Empire Insurance Company* (1994) 21 Cal.App.4th 787, 812.)

		Plaintiff alleges that she was in possession, had the right to immediate possession, and was the owner with right to possession of personal identifying information and health information and Defendant permitted one or more unknown parties to access that property by failing to train employees and maintain a security system in compliance with industry standards. (Compl. ¶¶ 37-38.) She does not allege, however, any intention by Defendant to convert her personal information, exercise ownership over them, or prevent her from possession. Thus, the Court finds that this cause of action fails. **Fourth Cause of Action for Invasion of Privacy** Defendant argues that this cause of action fails because unintentional access to personal information resulting from a breach or attack does not meet the high bar necessary to plead an invasion of privacy claim. Defendant further argues that Plaintiff has failed to allege that her information has been published or otherwise publicly disclosed. "In order to state a cause of action for invasion of privacy, a party must establish (1) a legally protected privacy interest, (2) a reasonable expectation of privacy in the records, (3) a serious invasion of the privacy interest, and (4) damages caused by the invasion of the privacy interest." (*Rosales v. City of Los Angeles* (2000) 82 Cal.App.4th 419, 428.) A common law invasion of privacy claim requires intentional conduct. (*Marich v. MGM/UA Telecommunications, Inc*. (2003) 113 Cal.App.4th 415, 421.) However, " '[i]ntent is not . . . limited to consequences which are desired. If the actor knows that the consequences are certain, or substantially certain, to result from his act, and still goes ahead, he is treated by the law as if he had in fact desired to produce the result.' " (*Id*. at p. 422.) Here, Defendant's argument that this cause of action is insufficient because it is based on an unintentional data breach fails, as allegations that Defendant knew or was substantially certain that a breach could occur as a result of its alleged failure to maintain sufficient security is enough to support the claim. Thus, Plaintiff's allegations that Defendant failed to adequate secure Plaintiff's private information from disclosure to third parties, and also failed to timely notify Plaintiff once Defendant possessed knowledge to a substantial certainty that a data breach occurred, are sufficient. Further, Defendant's argument that Plaintiff has not alleged that her information has been published or publicly disclosed lacks merit, as Plaintiff alleges through her Complaint that her private information has been accessed by one or more unauthorized parties. In light of all the above, the Court **OVERRULES** the Demurrer to the first cause of action for negligence and fourth cause of action for invasion of privacy and **SUSTAINS** the Demurrer to the second cause of action under the CRA and the third cause of action for conversion, **with 20 days leave to amend as to the third cause of action only.** **Moving party to give notice.**
2.	**30-2025-01528592** **Hold vs. Fortanix, Inc.**	**1. Case Management Conference** **2. Motion to Compel Arbitration** Defendant Fortanix, Inc. ("Defendant") moves to compel arbitration and stay the case pending arbitration. Plaintiff Joseph Hold ("Plaintiff") opposes the motion.

Here, the parties agree that there was an arbitration agreement between Plaintiff Joseph Hold ("Plaintiff") and Defendant Fortanix, Inc. ("Defendant"). On July 5, 2023, Plaintiff filed a Statement of Claims with JAMS Orange County pursuant to the Mutual Arbitration Agreement between Plaintiff and his Defendant, who was his employer.

The parties disagree about whether Defendant waived its right to proceed with arbitration by failing to timely pay the initial arbitration invoice, which was due upon receipt of the 05/09/2025 invoice from JAMS.

Code of Civil Procedure section 1281.98 expressly states that "if the fees or costs required to continue the arbitration proceeding are not paid within 30 days after the due date, the drafting party is in material breach of the arbitration agreement, is in default of the arbitration, and waives its right to compel the employee or consumer to proceed with that arbitration as a result of the material breach." (Code Civ. Proc., § 1281.98, subd. (a).)

Here, there is no question that Defendant failed to timely pay the arbitration fees. The invoice was sent on 05/09/2025 and stated that fees are "due upon receipt." Pursuant to Code of Civil Procedure section 1281.98, failure to pay the fees by 06/09/2025 (30 days after the 05/09/2025 due date) placed Defendant in material breach of the arbitration agreement and in default of the arbitration, and constituted a waiver of Defendant's its right to compel the employee or consumer to proceed with that arbitration as a result of the material breach.

The Court notes that JAMS sent at least nine follow up emails notifying Defendant of the outstanding and delinquent payment. Defendant repeatedly failed to pay the fees despite the nine plus notices of outstanding payment until 11/21/2026.

Still, however, once Defendant failed to pay the fees by 06/09/2025, Defendant waived its right to compel Plaintiff to proceed with the arbitration and Plaintiff gained the right to "[w]ithdraw the claim from arbitration and proceed in a court of appropriate jurisdiction." Plaintiff exercised that right when he filed the original Complaint in this Court on 11/24/2025.

Defendant attempts to argue that JAMS extended the deadline to pay but that is not the case. JAMS merely stated that JAMS will not "proceed with the hearing or the administration of this case" and will "place this matter on administrative suspension." This is not an extension. Moreover, the statute expressly states that "[a]ny extension of time for the due date shall be agreed upon by all parties" or as expressly stated in the applicable arbitration agreement.

Here, Defendant presents no evidence that Plaintiff agreed to extend the time for payment. Moreover, the arbitration agreement at issue does not contain a provision "stating the number of days in which the parties to the arbitration must pay any required fees or costs."

Defendant also argues that section 1281.98 does not apply and that the FAA applies, Pursuant to the holding in *Hohenshelt v. Superior Court* (2025) 18 Cal.5th 310, 349, however, the Court finds that section 1281.98 is not preempted by the FAA and section 1281.98 applies to the motion at hand.

Given the above, the Motion to Compel Arbitration is **DENIED**.
Plaintiff to give notice.

3.	**30-2025-01512481** **Duarte vs. Lyft, Inc.**	**1. Case Management Conference** **2. Motion to Compel Arbitration** Defendant Lyft, Inc., moves for an order compelling Plaintiff Marlon Rodriguez Duarte to arbitrate his claims against Lyft and staying this action pursuant to the Federal Arbitration Act. Based on applicable law, and as set forth herein, said Motion is **GRANTED**. <u>The FAA Applies</u> Lyft brings this motion to compel arbitration pursuant to the Federal Arbitration Act ("FAA"). "The FAA applies to contracts that involve interstate commerce (9 U.S.C. §§ 1, 2), but since arbitration is a matter of contract, the FAA also applies if it is so stated in the agreement." (*Davis v. Shiek Shoes, LLC* (2022) 84 Cal.App.5th 956, 963, citing *Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337, 355.) The evidence submitted shows that Lyft's Terms of Service dated December 12, 2022, were accepted by Plaintiff on January 20, 2024, and again accepted by Plaintiff on April 6, 2024. (Carr Decl. ¶ 12, Exs. 1-2.) Lyft updated its Terms of Service on December 13, 2024 and Plaintiff affirmatively accepted those terms on January 6, 2025, February 28, 2025 and September 21, 2025. (Carr Decl. ¶ 12, Ex. 5.) The subject accident occurred on July 4, 2024. (Compl. at p. 4.) The December 12, 2022 Terms of Service state, in relevant part: "This agreement to arbitrate ('Arbitration Agreement') is governed by the Federal Arbitration Act ('FAA') . . . ." Ex. 2 to Carr Decl., December 12, 2022 Terms of Service, at p. 22, ¶ 17(a). Thus, the FAA governs the parties' agreement to arbitrate in this action. <u>Existence of Agreement to Arbitrate</u> The FAA states that written arbitration agreements "shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract." (9 U.S.C. § 2.) The United States Supreme Court has described this provision as reflecting both a "liberal federal policy favoring arbitration," and the "fundamental principle that arbitration is a matter of contract." (*AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 339.) On a motion to compel arbitration under the FAA, the court's role is limited to deciding: "(1) whether there is an agreement to arbitrate between the parties; and (2) whether the agreement covers the dispute." (*Brennan v. Opus Bank* (9th Cir. 2015) 796 F.3d 1125, 1130.) If these conditions are satisfied, the court is without discretion to deny the motion and must compel arbitration. (9 U.S.C. § 4; *Dean Witter Reynolds, Inc. v. Byrd* (1985) 470 U.S. 213, 218 ["By its terms, the [FAA] leaves no place for the exercise of discretion by a district court, but instead mandates that district courts shall direct the parties to proceed to arbitration."].) In determining the validity or "the rights of parties to enforce an arbitration agreement within the FAA's scope, courts apply state contract law while giving due regard to the federal policy favoring arbitration. [Citations.]" *Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC*, 55 Cal.4th 223, 236 (2012); *Circuit City Stores, Inc. v. Najd*, 294 F.3d 1104, 1108 (9th Cir. 2002). General principles of contract law apply to

determine whether the parties have entered into a binding agreement. *Id*. Generally, an arbitration agreement must be in writing, and a party's acceptance of an agreement to arbitrate may be express or implied in fact. *Id*. "The party seeking arbitration bears the burden of proving the existence of an arbitration agreement, and the party opposing arbitration bears the burden of proving any defense, such as unconscionability." *Id*.

Here, Lyft meets its burden to show the existence of a written agreement to arbitrate as between Plaintiff and Lyft. Carr Decl., ¶¶ 15-18, Ex. 2, December 12, 2022 Terms of Service at p. 22, ¶ 17(a).

In opposition, Plaintiff contends that the agreement is not applicable to this dispute and that the agreement is unenforceable because it is unconscionable. Specifically, Plaintiff contends that the agreement is not applicable to this dispute because, "[w]hile Plaintiff was driving for Lyft at the time of the accident, Lyft is named in the lawsuit because Defendant Shang was driving for Lyft at the time of the accident. This is not an uninsured or underinsured claim where Plaintiff is seeking the benefit of his own coverage as a Lyft driver. He is seeking damages from Lyft solely in a third party claim." (Oppn at 2:1-4.)

<u>Delegation Clause</u>
Lyft contends that any challenges to arbitrability and scope/enforceability of the arbitration agreement have been delegated to the arbitrator.

Indeed, Section 17(a) of the agreement provides that "[a]ll disputes concerning the arbitrability of a Claim (including disputes about the scope, applicability, enforceability, revocability or validity of the Arbitration Agreement) shall be decided by the arbitrator, except as expressly provided below." (Carr Decl., Ex. 2 at p. 23, ¶ 17(a).) The exceptions to the delegation clause involve representative actions and are not applicable here. (Carr Decl., Ex. 2 at pp. 24-25, ¶ 17(b)-(c).)

For a delegation clause to be effective two pre-requisites must be met: (1) the language of the clause must be clear and unmistakable, and (2) the delegation must not be revocable under state contract defenses such as such as fraud, duress, or unconscionability. (*Tiri v. Lucky Chances, Inc.* (2014) 226 Cal.App.4th 231, 242.)

Here, the language is clear and unmistakable. However, Plaintiff contends that the delegation clause is unconscionable.

"A party opposing enforcement of a delegation provision under the FAA must 'challenge [ ] the delegation provision specifically.' [Citations.]" (*J.R. v. Electronic Arts Inc.* (2024) 98 Cal.App.5th 1107, 1114.) "Absent such a challenge, a court must treat the delegation provision as valid and enforce it, 'leaving any challenge to the validity of [the arbitration agreement or] the [a]greement as a whole for the arbitrator.' [Citation.]" (*Ibid*.)

Pursuant to *Armendariz v. Foundation Health Psychcare Services, Inc*., "unconscionability has both a 'procedural' and a 'substantive' element, the former focusing on 'oppression' or 'surprise' due to unequal bargaining power, the latter on 'overly harsh' or 'one-sided' results. [Citations.] The prevailing view is that [procedural and substantive unconscionability] must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability. [Citations.] But they need not be present in the same degree. Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves. [Citations.] In other words, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." *Armendariz v. Foundation Health Psychcare Services, Inc*. (2000) 24 Cal. 4th 83, 115.

Plaintiff contends that the delegation clause is procedurally unconscionable because it was offered on a take-it-or-leave-it basis, with no opportunity to negotiate any provision. Further, the delegation clause is found in Section 17 of a 48 page document, presented on a mobile phone screen in a small font, scrollable interface. Further, the delegation provision was not separately highlighted. Additionally, Plaintiff contends that he was a rideshare driver economically dependent on access to the Lyft platform to his livelihood. (Oppn. at pp.4-5.)

Plaintiff claims that the delegation clause is substantively unconscionable because it eliminates the Court's authority to decide fundamental gateway questions about this litigation and delegates those questions to a private arbitrator operating under rules of Lyft's choosing. (Oppn. at pp. 5-6.) Plaintiff contends that the agreement is one sided, and that it shocks the conscience to delegate enforceability decisions regarding a one-sided agreement to an arbitrator. (*Ibid.*)

While there is a certain degree of procedural unconscionability due to the nature of this click-through agreement, Plaintiff has not demonstrated a high degree of procedural unconscionability. He does not contend, for example, that he was not given sufficient time to review the agreement. Not to mention, he signed the agreement two separate times before the incident. (Carr Decl. ¶ 12, Exs. 1-2, 5.)

Further, Plaintiff has not demonstrated any degree of substantive unconscionability specific to the delegation clause. The delegation clause binds both parties equally, providing the "modicum of bilaterality" required by California law. (*Armendariz, sura,* 24 Cal.4th at 117.) Moreover, the language in this clause is virtually identical to delegation clauses California courts have consistently found "clear and unmistakable." (*Tiri v. Lucky Chances, Inc.* (2014) 226 Cal.App.4th 231, 242.) Moreover, delegation clauses in employment arbitration agreements are substantively unconscionable only if they impose unfair or one-sided burdens that are different from the clauses' inherent features and consequences. Here, Plaintiff has failed to demonstrate that the delegation clause imposes any such burdens.

Finally, Lyft asks the Court to stay Plaintiff's claims against Lyft pending the outcome of arbitration. Plaintiff does not oppose this request, but requests that it be allowed to proceed with its claims against Defendant Shang prior to any arbitration with Lyft.

Under the FAA, "if a dispute presents multiple claims, some arbitrable and some not, the former must be sent to arbitration even if this will lead to piecemeal litigation." (*KPMG LLP v. Cocchi* (2011) 565 U.S. 18, 19.) "From this it follows that state and federal courts must examine with care the complaints seeking to invoke their jurisdiction in order to separate arbitrable from nonarbitrable claims. A court may not issue a blanket refusal to compel arbitration merely on the grounds that some of the claims could be resolved by the court without arbitration. [Citation.]" (*Ibid*.) Where the FAA applies, Code of Civil Procedure section 1281.2(c) cannot be applied to deny enforcement of the arbitration clause. (*Gloster v. Sonic Automotive, Inc.* (2014) 226 Cal.App.4th 438, 446 ["Because the Federal Arbitration Act (9 U.S.C. § 1 et seq; FAA) contains no provision analogous to section

		1281.2, subdivision (c), that subdivision cannot be applied to deny the enforcement of the arbitration clauses governed by the FAA. [Citation.]".) Accordingly, the Court **STAYS** the action *only as to Defendant, Lyft, Inc*. pending completion of arbitration. 9 U.S.C.A. § 3. An **ADR Review Hearing is set for December 10, 2026 at 10:30 a.m. in Dept. C34**. **Defendant Lyft to give notice.**
4.	**30-2025-01453654** **400 Spectrum Holdings LLC vs. McSen Realty Corp.**	**1. Case Management Conference** **2. Order to Show Cause re: Appointment of Referee** All parties should be ready to discuss appointment of a discovery referee and apportionment of the costs.
5.	**30-2025-01492538** **Stradling Yocca Carlson & Rauth LLP cs. Enerra Corporation**	**1. Motion to Compel Further Responses to Special Interrogatories** **2. Motion to Compel Production** The Motion to Compel Supplemental Responses to Requests for Production and Special Interrogatories brought by the Plaintiff Stradling Yocca Carlson & Rauth LLP against Defendant Enerra Corporation is **GRANTED**. As a preliminary matter, both parties agree that this motion may be heard notwithstanding the stay pending arbitration entered on November 6, 2025. (ROA 95.) Code of Civil Procedure § 485.230 provides: > Where a right to attach order has been issued by the court, a plaintiff may discover, through any means provided for by, and subject to the protections included in, Title 4 (commencing with Section 2016.010) of Part 4, the identity, location, and value of property in which the defendant has an interest. On September 2, 2025, this Court issued a right to attach order in favor of Plaintiff in the amount of $108,277.50. (ROA 86.) On that same date, the Court also enjoined Defendant from spending, transferring, encumbering, hypothecating or otherwise diminishing the value-- other than payment to Stradling-- of any and all monies received by Enerra Corporation or its affiliates: (a) in connection with Chubb/Federal Insurance Company Policy No. 8261-9093, (b) from "the Conti Parties' insurance company" pursuant to the settlement agreement dated February 6, 2025; or (c) in connection with any other insurance payments related to Enerra Corp. v. Conti Group LLC, et al., No. 3:23-cv-00194-L until the completion of arbitration relating to the fee dispute between these parties (that is, the dispute herein and any dispute relating to the alleged contingency agreement). (*Ibid.*) Plaintiff now seeks further responses to special interrogatories Nos. 1-3 as well as the production of additional documents responsive to requests for production Nos. 1 and 2, for the purpose of learning the identity, location and value of the property in which Defendant has an interest. In opposition, Defendant submits the declaration of its President, Sergio Perez, who declares that "the funds received by Enerra from Chubb/Federal Insurance and from the Conti partes'

carrier had been deposited in Enerra's bank account at JP Morgan Chase, and those funds were used before the RTO issued to pay various obligations of Enerra's, including some funds that were paid to the Stradling law firm. As evidenced by the JP Morgan Chase bank statement produced to Stradling in discovery, the balance of that account as of September 30, 2025, was $119,177.62. Enerra has frozen this account." (Perez Decl. ¶ 2.)

Defendant proposes that, in lieu of providing supplemental discovery responses, it will transfer from its account the amount of the RTO ($108,277.50) to a trust account under this Court's supervision or to Plaintiff to hold in trust pending resolution of the Bar Association and JAMS arbitration proceedings. (Perez Decl. ¶ 3.) Plaintiff is not agreeable to this proposal.

The purpose of an attachment is to insure the payment of any judgment rendered in the main action. (*Loeb & Loeb v. Beverly Glen Music, Inc.* (1985) 166 Cal.App.3d 1110, 1118.) Toward that end, section 485.230 allows a plaintiff to discover the identity, location and value of property in which the defendant has an interest.

Defendant's proposal is not a sufficient substitute for the relief sought by Plaintiff. In issuing the September 2, 2025 Right to Attach Order and Temporary Protective Order, this Court noted that "Defendant admits that it owes Plaintiff $108,277.50 (plus the amount relating to 10% contingency which will be determined in arbitration)." (ROA 86.) As further stated in the Order, the "10% contingency" refers to a contingency fee to be paid to Plaintiff based on any funds Enerra recovered through settlement or judgment. (*Ibid*.) This Court then issued the Right to Attach Order in the amount of $108,277.50 along with the above-described injunctive relief.

The injunctive relief restraining Defendant from transferring the insurance funds is in addition to the right to attach order for $108,277.50. Depositing insurance funds in a trust account does not obviate the need for Plaintiff to obtain discovery as to the identity, location and value of property that could satisfy the $108,277.50 amount that is the subject of the right to attach order.

Thus far, Defendant has only provided general information in response to the discovery requests at issue. The interrogatories and requests for production are relevant, consistent with Section 485.230, and not preempted by the pending arbitration. While Defendant contends that its privacy interests in its financial information outweigh Plaintiff's need for discovery, the Court disagrees. To alleviate privacy concerns, Defendant may produce the information subject to a confidentiality protective order. To the extent that the parties are unable to stipulate to confidentiality protective order, the Court will entertain a request for the same on an ex parte basis.

Accordingly, Defendant is **ORDERED** to produce supplemental responses to Requests for Production Nos. 1 and 2 and Special Interrogatories Nos. 1 through 3 **within 30 days of this order.**

Plaintiff to give notice.

6.	**30-2024-01424629** **Diaz vs. Ngo**	**1. Motion-Other (Discharging Guardian Ad Litem)** Plaintiff Jasehi Angel Diaz, Guardian Ad Litem for Landon Diaz's Motion to Discharge Guardian Ad Litem is **GRANTED**. On October 7, 2024, the Hon. Layne Melzer issued an order appointing Jasehi Angel Diaz as Guardian Ad Litem for Landon Diaz, who was then a minor. The sole basis for appointment was Landon Diaz' status as a minor. (ROA 11.) Jasehi Angel Diaz has now submitted evidence that Landon Diaz turned 18 years of age on October 26, 2024. Because Landon Diaz has reached the age of majority, there is no need for a guardian ad litem. **Moving party to give notice.**
7.	**30-2025-01520541** **Huawei Ma, Trustee of The Liu and Ma Family Trust vs. Li**	**1. Case Management Conference** **2. Joinder** **3. Joinder** **4. Motion to Dismiss** Specially Appearing Defendant, Wenhui Li a/k/a Wenhui Laura Li a/k/a Laura Li ("Li"), moves for an order dismissing or staying this action on the ground of forum non conveniens in favor of the Delaware Court of Chancery, which the forum the parties have designated as the exclusive forum for Plaintiff's claims. Specially Appearing Defendant, BTinsight, a California corporation (named as DOE 1) joins in the motion to dismiss for forum non conveniens filed by Specially Appearing Defendant Wenhui Li a/k/a Wenhui Li a/k/a Laura Li for all of the reasons set forth in that motion. Specially Appearing Defendant, Help Undiagnosed Children Foundation joins in the motion to dismiss for forum non conveniens filed by Specially Appearing Defendant Wenhui Li a/k/a Wenhui Li a/k/a Laura Li for all of the reasons set forth in that motion. Li contends that Defendant, Breakthrough Genomics Inc. ("BTG") is a company incorporated in Delaware and headquartered in Irvine, and that its Bylaws contains a mandatory and exclusive forum provision designating the Delaware Court of Chancery as the exclusive forum for litigating a shareholder derivative lawsuit like the instant action, and which directly applies to Plaintiff's six causes of action for: (1) breach of fiduciary duty; (2) negligence; (3) aiding and abetting torts; (4) accounting; (5) constructive trust; and (6) unjust enrichment. Li asserts that these claims involve internal corporate affairs governed by Delaware law. Li asserts that because the forum selection clause is indisputably valid, mandatory, and applicable to Plaintiff's claims, Plaintiff has a heavy burden to demonstrate that Delaware's courts "would be unavailable or unable to accomplish substantial justice" and that Plaintiff cannot do so, or show that enforcement of the clause would contravene a strong public policy in California. Li additionally asserts that California law and public policy mandate that Plaintiff's claims be decided under Delaware law based on the "internal affairs doctrine." Li also asserts that Plaintiff's claims do not implicate any "unwaivable rights" under California law. Li thus contends that the Court should dismiss this case on forum non conveniens grounds, or alternatively, stay this litigation. Plaintiff, Huawei Ma, as Trustee of The Liu and Ma Family Trust, derivatively on behalf of Breakthrough Genomics Inc. ("Plaintiff" or "Ma") contends that Li failed to inform the

Court that BTG is now a California corporation, having converted in 2025 and been recognized as such by the California Secretary of State pursuant to Corporations Code section 1153 and 1157(d). Plaintiff asserts that equitable estoppel and waiver bars BTG from denying it is a California Corporation as BTG: (1) designated California as the exclusive forum and governing law in Plaintiff's 2020 Stock Purchase Agreement ("SPA"); (2) failed to provide Plaintiff with the 2017 Bylaws, which are not publicly available; (3) converted to a California corporation and has consistently held itself out as such before the California Secretary of State; and (4) represented itself as a California corporation in third-party contracts. Plaintiff asserts that Plaintiff had no reasonable expectation of a Delaware forum clause; that BTG is not a publicly traded company and its Bylaws were never publicly available; that BTG did not provide Plaintiff with the 2017 Bylaws when she purchased her shares in California in 2020; and that the only agreement executed by both parties is the SPA which expressly designates California as the exclusive forum and governing law for disputes arising from Plaintiff's stock purchase. Plaintiff also asserts that California Corporations Code section 2116 expressly authorizes claims for breach of fiduciary duty against directors of foreign corporations that conduct intrastate business be brought in this State; that Ma's primary language is Mandarin Chinese; that Li knew that Ma's English was limited; that Ma and Li communicated primarily in Mandarin; and that Ma heavily relied on Li during Plaintiff's purchase of BTG stock.

Plaintiff additionally asserts that even if the forum selection clause in the 2017 Bylaws was valid, the Court should decline to enforce it as unreasonable and contrary to California public policy, as it would be unreasonable to force this derivative action into Delaware when BTG converted to a California corporation many months before this action was filed in October 2025; when BTG has maintained its principal place of business and operations in California since its inception; when a majority of its shareholders and Li are California residents; when California corporate governance rules apply since BTG is now a California corporation; and as California has a compelling public policy interest in regulating the internal affairs, fiduciary conduct, and shareholder protections of corporations formed and operating within its borders.

Plaintiff further asserts that Delaware lacks personal jurisdiction over indispensable parties including BTG which is headquartered in Irvine, California, Li who is a resident of Arcadia, California, and the other named Defendants who have no connection to Delaware – BTGenomics Professional Building LLC, Help Undiagnosed Children Foundation, BTinsight, John Buda, and Buda Law Group. Plaintiff contends that the other corporate Defendants in this litigation are all corporations formed and operating in California. Finally, Plaintiff asserts that Plaintiff's derivative Complaint seeks recovery of real property located in Irvine, California, and that Code of Civil Procedure section 392(a) requires that actions for the recovery of real property or interests therein be tried in the county where the property is situated such that a constructive trust imposed on the Irvine property must be litigated in California. Plaintiff contends only the Superior Court of Orange County has jurisdiction over both the indispensable parties and the real property at issue.

In reply, Li contends that Plaintiff's opposition rests entirely on a false factual premise that BTG is now a California corporation whose internal affairs are governed exclusively by California law. Li asserts that the February 4, 2025 California conversion filing was an unauthorized error committed without board approval, and that Delaware has never recognized any change in BTG's corporate status. Li also asserts that even assuming arguendo that the California filing had some legal effect, it cannot retroactively invalidate the 2017 Bylaws that governed BTG at the time of Plaintiff's investment and during the alleged misconduct as all of the misconduct alleged in the Complaint that forms the basis of this derivative action occurred years before the February 4, 2025 conversion filing. Li contends that Plaintiff's arguments of equitable estoppel, the 2020 Stock Purchase Agreement's forum clause, and public policy fail. Li asserts that Plaintiff had actual notice of BTG's Delaware corporate status in 2020 and 2025; that the SPA's forum selection clause govern disputes arising out of the contractual relationship between Plaintiff and BTG, but does not govern this derivative action. Li asserts that such claims are governed by the internal affairs doctrine and by BTG's 2017 Bylaws, which contain a Delaware forum-selection clause. Li additionally argues that lack of jurisdiction over certain other defendants is for a matter for the Delaware court to address and does not render the forum selection clause in the Bylaws unreasonable, as well as that Plaintiff has not shown that the absence of personal jurisdiction over any particular defendant would defeat enforcement of the Bylaws as to the claims against Li and BTG. Lastly, Li asserts that Plaintiff's reliance on Code of Civil Procedure section 392(a) is misplaced in this forum non conveniens motion as Section 392(a) addresses venue within California and does not speak to whether California or Delaware is the more appropriate forum for a derivative action governed by Delaware law.

The enforceability of a forum selection clause is properly raised by a motion to stay or dismiss for inconvenient forum under Code of Civil Procedure sections 410.30(a) and 418.10(a)(2). (*Bushansky v. Soon-Shiong* (2018) 23 Cal.App.5th 1000, 1005.)

" 'In California, the procedure for enforcing a forum selection clause is a motion to stay or dismiss for forum non conveniens . . . , but a motion based on a forum selection clause is a special type of forum non conveniens motion. The facts that apply generally to a forum non conveniens motion do not control in a case involving a mandatory forum selection clause.' [Citation.]" (*Richtek USA, Inc. v. uPI Semiconductor Corp.* (2015) 242 Cal.App.4th 651, 661.) "When a case involves a mandatory forum selection clause, it will usually be given effect unless it is unfair or unreasonable. [Citation.] Moreover, a court will normally reject any claims that the chosen forum is unfair or inconvenient. [Citation.] Also, '[a] court will usually honor a mandatory forum selection clause without extensive analysis of factors relating to convenience.' [Citation.]" (*Ibid.*)

"While still a matter of trial court discretion under the doctrine of forum non conveniens, 'forum selection clauses are valid and may be given effect, in the court's discretion and in the absence of a showing that enforcement of such a clause would be unreasonable.' [Citation.]" (*EpicentRx, Inc. v. Superior Court of San Diego County* (2025) 18 Cal.5th 58, 73 ("*EpicentRx*".) "[A] party resisting enforcement of a forum selection clause cannot carry its burden of demonstrating unreasonableness by relying on 'the factors of inconvenience and expense' of the selected forum. [Citation.] ' "Mere inconvenience or additional expense is not the test of unreasonableness since it may be assumed that the plaintiff received under the contract consideration for these things.' " [Citation.]" (*Ibid.*) "[A] California resident will normally be bound by a forum selection clause." (*Ibid.*) "One exception to this general rule of enforceability is grounded in public policy." (*Id*. at p. 74.)

Looking to the burden, "in cases with a contractual forum selection clause, the burden of proof is on the plaintiff, the party resisting the motion. [Citations.]" (*Intershop Communications v. Superior Court* (2002) 104 Cal.App.4th 191, 198.) "[B]oth the United States Supreme Court and the California Supreme Court have placed a heavy burden on a plaintiff seeking to defeat such a clause, requiring it to demonstrate that enforcement of the clause would be unreasonable under the circumstances of the case. [Citations.]" (*Lu v.*

Dryclean-U.S.A. of California, Inc. (1992) 11 Cal.App.4th 1490, 1493.) California law "presume[s] a contractual forum selection clause is valid and place[s] the burden on the party seeking to overturn the forum selection clause." (*Schlessinger v. Holland America, N.V.* (2004) 120 Cal.App.4th 552, 558.) "The party opposing enforcement of a forum selection clause ordinarily 'bears the "substantial" burden of proving why it should *not* be enforced.' [Citations.]" (*Verdugo v. Alliantgroup, L.P.* (2015) 237 Cal.App.4th 141, 147.) A showing that the enforcement of a forum selection clause would be unreasonable includes that the forum selected would be unavailable or unable to accomplish substantial justice, and that the choice of forum have some rational basis in light of the facts underlying the transaction. (*Cal-State Business Products & Services, Inc. v. Ricoh* (1993) 12 Cal.App.4th 1666, 1679.)

Here, there is no dispute that BTG's bylaws, which were adopted on September 18, 2017, contain a mandatory forum selection bylaw. Article V of the Bylaws states:

> Section 1 Unless the Corporation consents in writing to the selection of an alternative forum, the sole and exclusive forum for (i) any derivative action or proceeding brought on behalf of the Corporation, (ii) any action asserting a claim of breach of a fiduciary duty owed by any director, officer or other employee of the Corporation to the Corporation or the Corporation's stockholders, (iii) any action asserting a claim arising pursuant to any provision of the DGCL, or (iv) any action asserting a claim governed by the internal affairs doctrine shall be a state or federal court located within the state of Delaware, **in all cases subject to the court's having personal jurisdiction over the indispensable parties named as defendants**. Any person or entity purchasing or otherwise acquiring any interest in shares of capital stock of the Corporation shall be deemed to have notice of and consented to the provisions of this Article V.

(ROA 26, Declaration of Wenhui Laura Li ("Li Decl."), ¶ 4, BTG Bylaws, at p. 11, Article V.)

Plaintiff does not dispute that her derivative action and claims here fall within the scope of this forum selection bylaw. Ma brings this action derivatively on behalf of BTG and asserts claims for (1) breach of fiduciary duty, (2) negligence, (3) aiding and abetting, (4) accounting, (5) imposition of constructive trust, and (6) unjust enrichment based on allegations that Li, with the assistance of the other defendants, caused BTG to engage in transactions which were self-interested and misappropriated funds, as well as failed to comply with various requirements under Delaware law. The Complaint alleges that Plaintiff invested $1,000,000 in BTG in exchange for 8,301,000 shares of common stock of the company. (Verified Complaint, ¶ 15.)

Plaintiff first argues that BTG is no longer a Delaware corporation as it converted into a California Corporation on February 4, 2025. However, Plaintiff does not cite to any authority or otherwise show that this conversion, regardless of whether this conversion was unauthorized or mistaken, automatically invalidates the 2017 Bylaws.

The issue of the forum selection bylaw's validity is governed by Delaware law. (*Drulias v. 1st Century Bancshares, Inc.* (2018) 30 Cal.App.5th 696, 702 ("*Drulias*").) A forum selection bylaw is facially valid under Delaware law. (*Ibid.* citing to *Boilermakers Local 154 Retirement Fund v. Chevron Corp.* (Del. 2013) 73 A.3d 934, 944.)

At issue is whether California law otherwise renders the forum selection bylaw unenforceable in this state. A forum selection clause need not be subject to negotiation to be enforceable. [Citations.]" (*Drulias, supra,* 30 Cal.App.5th 696, 707.) "[A] forum selection clause contained in a contract of adhesion, . . . is 'enforceable absent a showing that it was outside the reasonable expectations of the weaker or adhering party or that enforcement would be unduly oppressive or unconscionable.' [Citation.]" (*Id.* at p. 708.) In *Drulias*, the Court of Appeal found that the forum selection bylaw was consistent with the plaintiff's reasonable expectations at the time of purchasing stock where the plaintiff "knew or should have known that the company was a Delaware corporation, and that consistent with Delaware law, its certificate of incorporation empowered its directors to amend the corporate bylaws unilaterally, subject to subsequent shareholder repeal. [Citations.]" (*Ibid.*) The Court of Appeal stated that given this knowledge, the plaintiff consented to the board's unilateral adoption of corporate bylaws by purchasing stock, and that plaintiff reasonably should have expected that the company would prefer to litigate in Delaware, such that the reasonable expectation a stockholder like plaintiff should have is that the company's board may adopt a forum selection bylaw designating Delaware as the exclusive forum for intracorporate disputes. (*Id.* at pp. 708-709.) The Court of Appeal further noted that the plaintiff did not show that enforcement of the bylaw would be unduly oppressive or unconscionable. (*Id.* at p. 709.)

Here, Ma provides that the only forum-selection clause disclosed to Plaintiff was in the parties' SPA which expressly selects California as the exclusive forum and governing law for all disputes arising out of or relating to the investment; that BTG and Li did not provide any copy of BTG's 2017 Bylaws or corporate governance documents in 2020; that BTG's Bylaws are not publicly available; and that BTG is a closely held, private corporation, controlled and directed by Li, who is the sole director, sole officer, and majority shareholder. (ROA 98, Declaration of Huawei Ma, ¶¶ 3, 7-10.) Ma provides that she only obtained a copy of BTG's Bylaws when they produced it in response to her demand for inspection of books and records in 2025. (*Id.*, ¶ 11.)

In reply, Li does not dispute these assertions. Instead, Li submits a supplemental declaration which provides that, in or around March 2020, during the period when Ma was considering her investment in BTG, Li sent two Service Agreement Term Sheets via WeChat, which Term Sheets expressly identified BTG as "a Delaware corporation." (Reply Declaration of Wenhui Laura Li ("Reply Li Decl."), ¶¶ 12-15, Exs. G-I.)

Ma attempts to distinguish *Drulias* on the ground that the case enforced a bylaw forum selection clause in the context of a large, publicly traded Delaware corporation, and where the court found that stockholders had reasonable expectations that Delaware would serve as the exclusive forum. However, the Court of Appeal's determination as to whether to enforce the bylaw forum selection clause did not consider whether the corporation was publicly traded or was a privately-held corporation. Additionally, the SPA expressly states that the agreement is "made by and between Breakthrough Genomics Inc., **a Delaware corporation** (the "**Company**"), and THE LIU AND MA FAMILY TRUST." (Li Decl., ¶ 6, Ex. D, SPA at p. 1, Introductory Paragraph.)

Based on the above, Plaintiff knew or should have known that BTG was a Delaware corporation. Nevertheless, that does not mean that the forum selection bylaw is consistent with Plaintiff's reasonable expectations at the time she purchased stock in BTG.

Plaintiff also provides that the existence of a forum selection bylaw designating Delaware courts as the exclusive forum for derivative actions was outside her reasonable expectations as when she purchased stock in 2020, she understood that BTG operated in Arcadia, California and had always operated in California, that BTG had never operated in Delaware, and that Li is a resident of Arcadia, California. (Ma Decl., ¶¶ 16-17, 22.)

Additionally, the forum selection clause contained in the SPA states, part:

> 8.3 <u>Governing Law; Venue</u>. This Agreement is to be construed in accordance with and governed by the internal laws of the State of California without giving effect to any conflicts of law principles. All disputes and controversies arising out of or in connection with this Agreement shall be resolved exclusively by the state and federal courts located in Los Angeles County, California, and each party hereto agrees to submit to the jurisdiction of said courts and agrees that venue shall lie exclusively with such courts.

(Li Decl., ¶ 6, Ex. D, SPA at p. 5, § 8.3, emphasis added.)

The forum selection clause in the SPA which designates that all disputes and controversies arising out of or in connection with the SPA shall be resolved exclusively by the state and federal courts located in Los Angeles County, California, also indicates that although BTG was a Delaware corporation, BTG did not necessarily prefer to litigate in Delaware.

Under these circumstances, the evidence indicates that Plaintiff did not have notice of the forum selection bylaw, and the forum selection bylaw is not consistent with the reasonable expectations a stockholder like Plaintiff should have, and Plaintiff would not necessarily reasonably expect that BTG may have a forum selection bylaw designating Delaware as the exclusive forum for its intracorporate disputes. (*Carnival Cruise Lines, Inc. v. Superior Court* (1991) 234 Cal.App.3d 1019, 1026-1027 [holding that a forum-selection clause in a cruise contract was unenforceable as to a plaintiff if the court determines that such plaintiff did not have sufficient notice of the forum-selection clause prior to entering into the contract].) Based on the foregoing, the Court finds that the enforcement of the forum selection bylaw would not be reasonable.

Li cites to *Bushansky v. Soon-Shiong* (2018) 23 Cal. App. 5th 1000, 1011 ("*Bushansky*") as an example of a case upholding and enforcing forum selection clauses adopted by Delaware corporations in their founding documents. However, *Bushansky* did not involve whether the mandatory forum selection provision was unreasonable. (*Bushansky, supra,* 23 Cal.App.5th at p. 1011, fn. 7.) Thus, for that issue, it is inapplicable.

Bushansky is relevant for its interpretation of the forum selection provision which had a qualification that the Delaware courts shall be the sole and exclusive forum for a derivative action brought on behalf of a corporation, "in all cases subject to the court's having personal jurisdiction over the indispensable parties named as defendants," which is at present in the forum selection bylaw here. (*Bushansky, supra,* 23 Cal.App.5th at p. 1004.) The Court of Appeal in *Bushansky* determined that this clause was a condition precedent, and concluded that "a court properly declines to exercise jurisdiction based on a contractual forum selection clause like this one [that is silent as to when personal jurisdiction in Delaware must exist] when consent to jurisdiction in the alternate forum is provided within a reasonable period of time." (*Id.*, at pp. 1003, 1007-1008, 1011.) In *Bushansky*, the plaintiff argued that the forum selection provision was never triggered because condition precent that

		requires Delaware courts to have personal jurisdiction over all indispensable parties named as defendants was not met because Delaware courts lacked jurisdiction over one of the defendants at the time the action was filed in California. (*Id.*, at p. 1003.) The Court of Appeal found that the condition was satisfied within a reasonable amount of time where the one defendant consented to Delaware jurisdiction less than two months after the action was filed. (*Id.* at p. 1009.) Here, Plaintiff Ma asserts that all co-defendants, BTG, BTG Professional Building LLC, Help Undiagnosed Children Foundation, BTinsight, John Buda, and Buda Law Group, are California corporations or California residents. (Opposition, 13:2-8; Exs. B-C and E-J to Plaintiff's Request for Judicial Notice.) Defendant Li does not dispute this assertion, and argues that "[i]f Delaware lacks jurisdiction over certain defendants, that is a matter for the Delaware court to address," as well as assert that this does not render the Delaware forum unreasonable for the claims against Defendants Li and BTG. (Reply, 6:27-7:1.) There is no authority cited for this proposition. This issue is the matter of satisfying a condition. There is no evidence showing that this condition has been met to trigger the forum selection bylaw as there was in *Bushansky*. The Court **DENIES** Defendant Li's motion to dismiss, or alternatively, stay the action. The joinders filed by Specially Appearing Defendant, BTinsight (named as DOE 1) and Specially Appearing Defendant, Help Undiagnosed Children Foundation are likewise **DENIED**. In light of the above, the Court need not, and declines to, address the issue of whether BTG is a California corporation and possible additional public policy grounds for denying the enforcement of the forum selection bylaw. ***Li's Request for Judicial Notice*** Li requests that the Court take judicial notice four documents: (1) BTG's Bylaws; (2) BTG's Certificate of Incorporation; (3) BTG's Certificate of Good Standing; and (4) Common Stock Purchase Agreement dated March 30, 2020. The request for judicial is **GRANTED** pursuant to Evidence Code section 452(c) and (h). Evidence Code section 452(c), as records of "[o]fficial acts of the legislative, executive, and judicial departments of the United States and of any state of the United States." "Official acts include records, reports and orders of administrative agencies." (*Rodas v. Spiegel* (2001) 87 Cal.App.4th 513, 518.) Courts may take judicial notice of the existence and recordation of real property records, including deeds of trust. (*Fontenot v. Wells Fargo Bank, N.A.* (2011) 198 Cal.App.4th 256, 264.) Courts can take judicial notice of the existence, content and authenticity of public records and other specified documents, but do not take judicial notice of the truth of the factual matters asserted in those documents." (*Dominguez v. Bonta* (2022) 87 Cal.App.5th 389, 400.) " 'Taking judicial notice of a document is not the same as accepting the truth of its contents or accepting a particular interpretation of its meaning.' [Citation.] While courts take judicial notice of public records, they do not take judicial notice of the truth of matters stated therein. [Citation.] 'When judicial notice is taken of a document, . . . the truthfulness

		and proper interpretation of the document are disputable.' [Citation.]" (*Herrera v. Deutsche Bank Nat'l Trust Co.* (2011) 196 Cal.App.4th 1366, 1375.) ***Plaintiff's Request for Judicial Notice*** Plaintiff requests that the Court take judicial notice of various public records including filings with the California Secretary of State (Exs. A, B, C, E, F, G, H, I, and J) and publicly recorded documents (Ex. D). The request for judicial notice is **GRANTED** pursuant to Evidence Code section 452(c) and (h). ***Objection to Declaration of Huawei Ma*** In response to the Declaration of Huawei Ma filed in reply, Specially Appearing Defendant BTinsight filed objections. The Court **SUSTAINS** both objections. **Plaintiff Ma to give notice**.
9.	**30-2025-01457060** **Chadwick Condominium Association, Inc vs. Helmle**	**1. Motion to Disqualify Attorney of Record** Defendant Eric A. Helmle ("Defendant") moves for an order disqualifying attorney Jay J. Brown and Community Legal Advisors, Inc. ("CLA") from further representing plaintiff Chadwick Condominium Association Inc. ("Plaintiff" or "Association") in this action on the ground that Mr. Brown is a central fact witness to this litigation. Defendant argues that disqualification is required under Rule 1.7 of the Model Rules of Professional Conduct of the American Bar Association because Mr. Brown's representation of Plaintiff poses a conflict of interest. However, Rule 1.7 does not apply. Rule 1.7 relates to concurrent conflicts of interest, which exist when the representation of one client will be directly adverse to another client or there is a significant risk that the representation of one or more clients will be materially limited by the lawyer's responsibilities to another client, a former client or a third person or by a personal interest of the lawyer. Here, Plaintiff was never a client of CLA or Mr. Brown and there is no other client with an interest directly adverse to the Association being represented by them. Further, there is no risk that representation of the Association will be materially limited by Mr. Brown's responsibilities to any third person, former client, or his own personal interests. As there is no concurrent conflict of interest in CLA and Mr. Brown's representation of the Association, Defendant's arguments regarding a non-waivable conflict fail. Defendant also moves for disqualification pursuant to Rule 3.7. "Rule 3.7 provides, 'A lawyer shall not act as an advocate in a trial in which the lawyer is likely to be a witness unless: [¶] (1) the lawyer's testimony relates to an uncontested issue or matter; [¶] (2) the lawyer's testimony relates to the nature and value of legal services rendered in the case; or [¶] (3) the lawyer has obtained informed written consent from the client.' " (*Geringer v. Blue Rider Finance* (2023) 94 Cal.App.5th 813, 821.) " 'In exercising its discretion to disqualify counsel under the advocate-witness rule, a court must consider: (1) " ' "whether counsel's testimony is, in fact, genuinely needed" ' "; (2) "the possibility [opposing] counsel is using the motion to disqualify for purely tactical reasons"; and (3) "the combined effects of the strong interest parties have in representation by counsel of their choice, and in avoiding the duplicate expense and time-consuming effort involved in replacing counsel already familiar with the case." ' " (*Id*. at p. 822.)

		Defendant argues that Mr. Brown is a necessary percipient witness because he personally signed the lien against Defendant's property and he is the only individual who can testify as to his authority to record the lien, why the lien was recorded when the Association's status was suspended, internal communications, and how the disputed amounts were calculated. In his Second Amended Cross-Complaint, Defendant alleges that the lien recorded against his property is invalid and void and based on inaccurate accounting practices. Defendant further argues that disqualification is necessary because Mr. Brown and CLA are deeply entangled in Plaintiff's collection practices. The Court finds that Defendant's arguments that Mr. Brown is a necessary percipient witness due to his involvement in recording the lien and representing Plaintiff in collections efforts are not persuasive. Mr. Brown's authority from Plaintiff to record the lien has no bearing on the validity of the lien or the amendment thereto that was filed while the Association was on a suspended status. Further, any "internal communications" between Plaintiff and Mr. Brown regarding his recording of the lien on Plaintiff's behalf would undoubtedly fall within the scope of the attorney-client relationship and be protected by the attorney-client privilege. (Evid. Code, § 954.) Moreover, Mr. Brown's testimony is not required in relation to Defendant's allegations that the lien is based on improper accounting and the amount of the lien was miscalculated. Rather, testimony regarding how the Association calculated the amount and the Association's accounting practices would more appropriately be obtained via the deposition of the Association's person(s) most knowledgeable. Thus, the first factor weighs against disqualification. As to the second factor for consideration, Plaintiff points out that Defendant has known of Mr. Brown's and CLA's representation of the Association over a year before the Motion to Disqualify was filed. However, there is no other evidence aside from this delay to suggest that Defendant is using his Motion for purely tactical reasons. Thus, the Court finds that this factor is neutral. The last factor, however, also weighs against disqualification. Plaintiff undisputably as a strong interest in representation by counsel of its choice and trial in this matter is currently set for November 23, 2026. This matter has been pending for a year and a half. Requiring Plaintiff to obtain new counsel now would come at significant expense and require duplicative efforts for new counsel to become familiar with the case in preparation for trial. In short, the Court finds that Plaintiff would be highly prejudiced by the granting of this Motion. In light of all the above, the Motion to Disqualify is **DENIED**. **Plaintiff to give notice.**
11.	**30-2025-01480831** **Gutierrez vs. General Motors LLC**	**1. Motion for Summary Judgment and/or Adjudication** Defendant General Motors, LLC ("Defendant") moves for summary adjudication as to the first cause of action for declaratory relief, third cause of action for violation of the Song-Beverly Consumer Warranty Act express warranty, fourth cause of action for violation of the Song-Beverly Warranty Act implied warranty, fifth cause of action for violation of the Consumer Legal Remedies Act, sixth cause of action for violation of the Business and

		Professions Code, seventh cause of action for fraudulent misrepresentation, and eighth cause of action for negligent misrepresentation. Plaintiff Peter Gutierrez Jr. (“Plaintiff”) opposes the motion and requests that the hearing on the motion be continued pursuant to Code of Civil Procedure section 437c(h). Plaintiff requests a continuance of the summary judgment hearing to obtain discovery regarding the agency relationship between General Motors LLC (“GM”) and its franchise dealerships. Plaintiff claims this discovery is essential to establish facts that directly contradict GM's central assertion that no transactional relationship exists between Plaintiff and General Motors LLC. (Declaration of Colin S. Welsh (“Welsh Decl.”), ¶¶ 2-4.) The necessary discovery includes GM’s Warranty policies and procedures manuals, GM’s Policies and Procedures regarding repair and service obligations, the agreements that GM has with its dealers, and deposition testimony from GM and DeLillo Chevrolet representatives with knowledge about the agency relationship between GM and its franchise dealerships. (*Id*.) Pursuant to Code of Civil Procedure section 437c(h), the motion is **CONTINUED to November 12, 2026 at 1:30pm in C34.** **Supplemental Opposition and Supplemental Reply briefs to be filed and served, pursuant to the law, based on the 11/12/26 hearing date.** **Plaintiff to give notice.**